

**BEFORE
THE FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-34

SEAFAIR USA, LLC

VS.

STERLING CONTAINER LINE LIMITED AND
ATLANTIC FORWARDING LTD.

**COMPLAINANT’S MOTION TO STRIKE RESPONDENTS’ PETITION FOR
ATTORNEY FEES OR, IN THE ALTERNATIVE, MOTION FOR LEAVE TO FILE
REPLY TO RESPONDENTS’ PETITION FOR ATTORNEY FEES OUT OF TIME**

Complainant, SeaFair USA, LLC (“SeaFair” or “Complainant”), pursuant to 46 C.F.R. §502.69, hereby respectfully moves to strike Respondents, Sterling Container Line Limited and Atlantic Forwarding Ltd.’s (“Respondents”), Petition for Attorney Fees and related documents (the “Petition”) [Dkt. 41-43] for failure to properly file pursuant to 46 C.F.R. §502.2. In the alternative, also pursuant to 46 C.F.R. §502.69, Complainant respectfully moves for permission to file the Reply to Respondents’ Petition for Attorney Fees (the “Reply”) attached as **Exhibit 1** out of time. In support thereof, Complainant states the following:

I. PRELIMINARY STATEMENT

Counsel for Complainant timely served the attached Reply on July 11, 2024 on the Honorable Administrative Law Judge (“ALJ”) and counsel for Respondents. See Exhibit 2. However, counsel inadvertently failed to include the Office of the Secretary in the email of service.

On August 1, 2024, the honorable ALJ contacted the undersigned asking if the Reply was filed with the Office of the Secretary. See Exhibit 3. When serving the Reply, the undersigned referred to the email from counsel for Respondents serving Respondents' Petition for Attorney Fees (see Exhibit 4) to copy and paste their correct email addresses and included all parties copied on Respondents' email. The undersigned failed to notice that the Office of the Secretary was not copied in that email and did not add the email address for the Office of the Secretary to her email serving the Reply.

Complainant has requested Respondents provide proof of filing of their Petition with the Secretary. As of the time of filing this Motion, no such proof has been proffered. If Complainant's Reply was not properly filed due to failure to serve it electronically on the Office of the Secretary, then Respondents' Petition was likewise not properly filed pursuant to 46 C.F.R. §502.2(c) and should be struck from the record. If Respondents did, in fact, send their Petition directly to the Office of the Secretary, then Complainant respectfully requests it be permitted to file the attached Reply out of time.

II. BACKGROUND

On April 15, 2024, the ALJ issued its initial decision denying SeaFair's Complaint and discontinuing the proceeding. [Dkt. 39]. On May 16, 2024, the decision became administratively final. [Dkt. 40]. On June 14, 2024, Respondents served a Petition for Attorney Fees, a Declaration of Ashley K. Kelley in Support of Petition for Attorney Fees (the "Declaration"), the public versions of Exhibits A and B to the Declaration, and a Motion for Confidential Treatment via email to judges@fmc.gov and the undersigned. [Dkt. 41-43]. The Office of the Secretary was not copied in the service email nor was the Secretary included on the Certificates of Service. Id.

On June 27, 2024, Complainant filed a Motion for Enlargement of Time requesting a seven (7) day extension. [Dkt. 44]. The extension was granted. [Dkt. 45]. Complainant served its Reply pursuant to 46 C.F.R. §502.254(e) on July 11, 2024, using the email addresses in Respondents' email serving their Petition. See Exhibits 2, 4. The undersigned inadvertently failed to notice that the Office of the Secretary was not copied in Respondents' email and did not add the Office of the Secretary's email address when serving its Reply.

On August 1, 2024, the ALJ contacted the undersigned to ask if the Reply had been sent to the Office of the Secretary as it did not appear on the docket. This was the first notice Complainant had that its Reply was not considered filed.

III. RESPONDENTS' PETITION FOR ATTORNEY FEES SHOULD BE STRUCK FROM THE RECORD

Upon information and belief, Respondents' Petition was not filed in accordance with 46 C.F.R. § 502.2. The June 14, 2024, email from Respondents' counsel effectuating service was sent only to the undersigned and the email address judges@fmc.gov. See Exhibit 4. According to the Honorable ALJ, "[t]he courtesy copy to judges@fmc.gov isn't considered filing." See Exhibit 5. 46 C.F.R. § 502.2(a) establishes that "[d]ocuments relating to any matter pending before the Commissioners for decision [...] must be filed with the Secretary, Federal Maritime Commission." Pursuant to 46 C.F.R. § 502.2(c), all documents must be addressed and delivered to secretary@fmc.gov or the Secretary's physical address.

After the Honorable ALJ alerted Complainant that its Reply had not been docketed and after the undersigned realized she inadvertently failed to include the Secretary's email address in the email effectuating service of the Reply, Complainant verified that the Respondents' similarly

did not include the Secretary's email address in their email serving their Petition, nor was the Secretary included in the service list attached to the Petition. See Exhibit 4; see also Dkt. 41-43. Respondents failed to provide proof of filing of the Petition with the Office of the Secretary upon Complainant's request, which leads Complainant to believe that the Petition was not properly filed.

As a result of Respondents' failure to send their Petition to the Secretary, their Petition should be struck from the record since it was never actually filed with the Secretary. Considering Respondents did not file their Petition pursuant to 46 C.F.R. § 502.2, no timely petition for attorney fees has been filed in the instant proceeding.

IV. ALTERNATIVELY, THIS MOTION SHOULD BE GRANTED UNDER FED. R. CIV. P. 6(b)(1)(B)

If Respondents properly and timely filed their Petition with the Secretary, Complainant alternatively moves the Commission for leave to file the attached Reply out of time on the basis of excusable neglect in accordance with Fed. R. Civ. P. 6(b)(1)(B), which is applicable here pursuant to 46 C.F.R. § 502.12. Fed. R. Civ. P. 6(b)(1)(B) states that the Court (in this case, the Commission) may extend the time for an act that must be done within a specified time on motion after a deadline has passed "if the party failed to act because of excusable neglect."

Four factors should be considered when determining when a late filing may be considered "excusable neglect." See Riley v. BMO Harris Bank, N.A., 115 F. Supp. 3d 87, 96 (D.D.C. 2015) (citing Pioneer Inv. Servs. Co. v. Brunswick Associates Ltd. P'ship, 507 U.S. 380, 395 (1993)). The factors are: "(1) the danger of prejudice to the [opposing party], (2) the length of delay and its potential impact on judicial proceedings, (3) the reason for the delay, including

whether it was within the reasonable control of the movant, and (4) whether the movant acted in good faith.” Riley, 115 F. Supp. 3d at 96 (quoting In re Vitamins Antitrust Class Actions, 327 F.3d 1207, 1209 (D.C.C. 2003)).

In the instant matter, no prejudice to Respondents will result if Complainant is permitted to file its Reply out of time. To the contrary, Complainant may be greatly harmed financially if its Reply is not permitted as the Reply contests an award of attorney fees. As to the length of delay and its potential impact on judicial proceedings, the ALJ’s disposition of Complainant’s Complaint is already final, therefore the late filing will have little to no impact on the Commission and its resolution of the dispute at issue. The delay was inadvertent, as the undersigned did not realize the Secretary had not been copied in the email serving Respondents’ Petition from which she extracted the email addresses for service and unwittingly failed to add the Secretary’s email address to its email effectuating service of the Reply. The movant at all times acted in good faith, and the Reply was timely served on both the ALJ and Respondents.

V. CONCLUSION AND CONFERENCE

In conclusion, Complainant, SeaFair USA, LLC, respectfully asks that the ALJ strike Respondents’ Petition for Attorney Fees from the record given it was never filed with the Secretary pursuant to 46 C.F.R. § 502.2. If Complainant is mistaken and the Petition was timely and properly filed, Complainant alternatively requests its Reply be permitted out of time for the reasons set forth herein.

Pursuant to 46 C.F.R. § 502.71(a), Complainant has conferred with counsel for the opposing party regarding this Motion. Prior to filing, Complainant requested Respondents provide proof of filing of their Petition with the Office of the Secretary and stated its intention to

file a combined motion seeking to strike the Petition or, in the alternative, seeking leave to file its Reply out of time if Respondents do not have proof of filing with the Office of the Secretary. As of the time of filing this Motion, Respondents have not provided the requested proof of filing. Respondents have indicated that they consent to Complainant's Motion for Leave to File Reply to Respondents' Petition for Attorney Fees Out of Time, but object to this Motion as it pertains to Complainant's Motion to Strike Respondents' Petition for Attorney Fees.

Respectfully Submitted,

LIANG + MOONEY, PLLC

/s/ Shanshan Liang

Shanshan Liang, Esq.

Fla. Bar No. 112991

2104 Delta Way, Suite #1

Tallahassee, FL 32303

Telephone: (850) 893-0670

Email: sliang@customscourt.com

Counsel for Complainant

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 2nd day of August 2024, the foregoing Motion to Strike Respondents' Petition for Attorney Fees or, in the Alternative, Motion for Leave to File Reply to Respondents' Petition for Attorney Fees Out of Time was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
The Honorable Alex M. Chintella
Presiding Administrative Law Judge
judges@fmc.gov

Ashley K. Kelley, Esq.
Telephone: (843) 720-4679
Email: Ashley.Kelley@wbd-us.com
Womble Bond Dickinson (US) LLP
5 Exchange Street
PO Box 999 (29402)
Charleston, SC 29401

Julius H. Bodie, Esq.
Telephone: (202) 857-4552
Email: Julius.Bodie@wbd-us.com
Womble Bond Dickinson (US) LLP
2001 K Street, NW
Suite 400 South
Washington D.C. 20006

/s/ Shanshan Liang
Shanshan Liang, Esq.